

OFFICIAL AGENCY AUDIT MEMORANDUM

Target: National Tax Allotment (Automatic Appropriations) | Prepared by Budget Inspector Desk (Team Vibe Coders PH)

MEMORANDUM FOR THE DEPARTMENT HEAD & OVERSIGHT COMMITTEE

****TO**:** Office of the Secretary / Director
General — National Tax Allotment (Automatic
Appropriations)

****FROM**:** Budget Inspector Desk (Team Vibe
Coders PH)

****DATE**:** September 6, 2026

****SUBJECT**:** LINE-ITEM FISCAL VARIANCE &
RECONCILIATION AUDIT (FY 2025 vs FY 2026
GAA)

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I. PURPOSE & POSITIONALITY

Nais kong ipunto na isinagawa ang audit na ito upang suriin ang mga pagbabago sa budgetary allocations ng **National Tax Allotment**** sa ilalim ng ****FY 2025 GAA (R.A. 12116)**** at ****FY 2026 GAA (R.A. 12314)****.**

Our objective is to provide executive leadership and oversight officers with a 100% cell-verifiable audit trail of major line-item movements, newly introduced programs, and structural expense class shifts.

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II. EXECUTIVE SUMMARY OF AGENCY MOVEMENTS

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[2025 Reconciled Agency Total]

₱2,515,228,236,000.00 (₱2515.23 Billion)

[2026 Reconciled Agency Total]

₱3,231,576,837,000.00 (₱3231.58 Billion)

[Total Reconciled Net Variance] +

₱716,348,601,000.00 (+₱716.35 Billion)

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To wit: the top line-item variances identified within **National Tax Allotment**** are detailed below:**

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1. Allocation to Local Government Units - National Tax Allotment

- **2025 Baseline**:** ₱1,034,604.9 Million
- **2026 Enacted**:** ₱1,190,509.7 Million
- **Variance**:** +₱155,904.8 Million
- **Audit Assessment**:** Significant program variance requiring documentation of physical targets and release milestones.

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2. For the Payment of Interest of Foreign and Domestic Indebtedness

- **2025 Baseline**:** ₱848,030.7 Million
- **2026 Enacted**:** ₱950,000.0 Million
- **Variance**:** +₱101,969.3 Million
- **Audit Assessment**:** Significant program

variance requiring documentation of physical targets and release milestones.

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3. Additional Appropriation in Compliance with the Supreme Court Decision

- **2025 Baseline**: ₱0.0 Million**
- **2026 Enacted**: ₱60,000.0 Million**
- **Variance**: +₱60,000.0 Million**
- **Audit Assessment**: Significant program variance requiring documentation of physical targets and release milestones.**

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4. Basic Education Facilities

- **2025 Baseline**: ₱25,440.8 Million**
- **2026 Enacted**: ₱80,206.1 Million**
- **Variance**: +₱54,765.3 Million**

- ****Audit Assessment****: Significant program variance requiring documentation of physical targets and release milestones.

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5. Health insurance coverage under the Sin Tax Law

- ****2025 Baseline****: ₱0.0 Million
- ****2026 Enacted****: ₱53,134.4 Million
- ****Variance****: +₱53,134.4 Million
- ****Audit Assessment****: Significant program variance requiring documentation of physical targets and release milestones.

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III. DRAFT FREEDOM OF INFORMATION (FOI) QUERY / CONGRESSIONAL INQUIRY

If submitting a formal FOI request or Congressional Inquiry to DBM or agency budget officers, use the following exact wording:

> *"Pursuant to Executive Order No. 2 (s. 2016) on Freedom of Information, we request official copy of the Work and Financial Plan (WFP) and Special Allotment Release Orders (SARO) corresponding to the line items cited above. Specifically, we request cell-level justification for the variance between R.A. 12116 and R.A. 12314."*

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IV. CONCLUSION

Simply put: what is written in the General Appropriations Act represents legislative mandate. The next step is to monitor actual obligation and disbursement velocity.

And that is where public fiscal accountability begins.